Exchange Currency Set Up

Q.1. If you want to use multiple currencies in NetSuite. How can you use it? Explain?

Ans.

The Multiple Currencies feature lets us create transactions with customers and vendors in currencies other than the company's base currency. This helps to accommodate businesses operating in various international markets.

Here's how we can use multiple currencies in NetSuite:

Enable Multi-Currency Mode:

- To use multiple currencies in NetSuite, we need to enable multi-currency mode.
- Navigation: Setup > Company > Enable Features. Then, check the "multi-Currency" box and save.

Configure Currency Records:

- To use any currency in a transaction first it should be present in the currency record.
- Hence navigation to create new currency record: Lists > Accounting > Currencies>New.

Set Default Currency:

- We can set default/base currency in the parent subsidiary.
- Navigation: Setup > Company > Company Information.

Assign Currency to Customers, Vendors, and Accounts:

- We can assign specific currencies to customers and vendors, while creating or editing customer or vendor records, we can specify their preferred currency.
- We can assign currencies to income and expense accounts. This helps to automatically convert and record transactions in the appropriate currencies.

Define Exchange Rates:

- NetSuite allows us to manually enter exchange rates or import them automatically from sources like Xginite or HSBC.
- Exchange rates are used to convert transactions from foreign currencies to default currency for financial reporting.

Process Multi-Currency Transactions:

- When entering transactions involving different currencies, such as sales orders, purchase orders, invoices, and bills, we can automatically handle currency conversions based on the assigned exchange rates.

Q.2. What is the primary currency? Explain?

Ans.

- The primary currency is the default currency that we set in our company information. This is used for financial reporting and accounting purposes. Once we save country & currency in the company's information then we won't be able to modify it in future. Hence at the initial phase it's mandatory to confirm the country and base currency of the client's company.
- We can work with multiple currencies in addition to the primary currency. These additional currencies are used for transactions involving customers, vendors, or partners who use different currencies.
- We can also manage currency exchange rates, perform currency conversions, and generate reports in both the primary currency and foreign currencies as per business needs.
- While the primary currency is usually the currency of the parent subsidiary's country or the currency where we primarily do business in.

Q.3. On which entity records we can set the currency?

Ans.

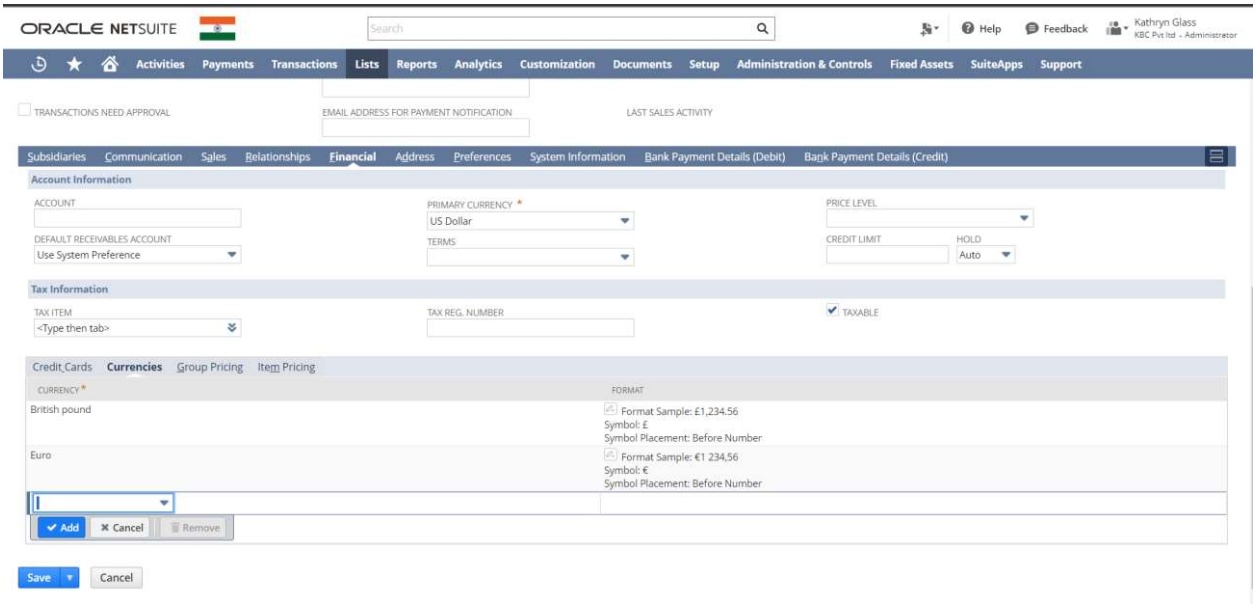
- Customer Records: We can specify the preferred currency for each customer. When we create or edit a customer record, there is a field where we can select the customer's currency. This allows us to handle transactions with customers in different currencies.
- Vendor Records: Like customers, we can also set the currency for vendor records. This is particularly useful when we have vendors in different countries or regions and need to manage transactions in their respective currencies.
- Employee Records: If a business has international employees, then we can set the currency for their records. This can be useful for managing payroll and expenses. But while creating new employee record usually NetSuite assign subsidiary's base currency to the employee
- Account Records: When we create or edit income and expense accounts in NetSuite, then we have to select the currency for the account.
- Subsidiary Records: We can set the subsidiary's base currency. Each subsidiary can operate in its own currency.

Q.4. What is a foreign currency? Set up any 2 foreign currencies on the customer record?

Ans.

- Foreign currency refers to any currency other than the company's base currency. When a company conducts business transactions in multiple currencies, we can record and manage these transactions in their respective foreign currencies. This functionality is particularly useful for multinational companies or businesses that engage in international trade, as it helps them accurately track and report financial data in different currencies.

- Navigation to set up foreign currencies in customer record: List > Relationship > Customer > Enter all fields of customer > Financial > Currencies > Select currencies > Save.

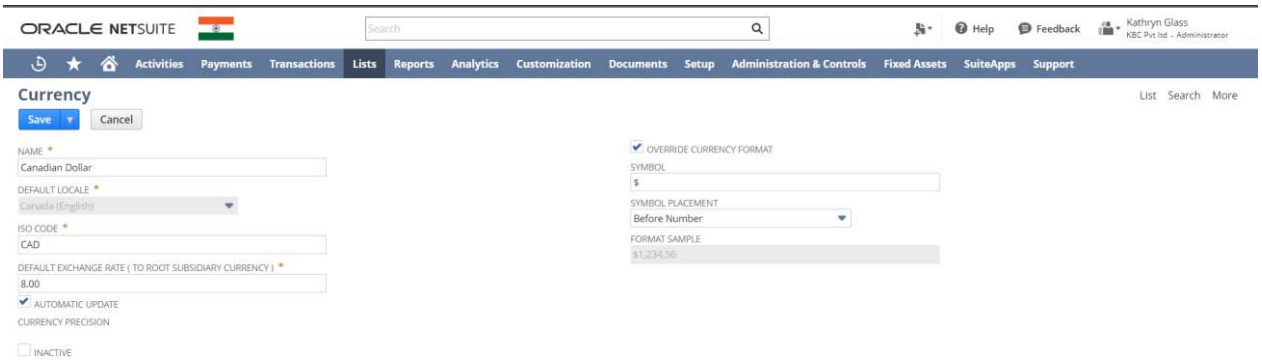


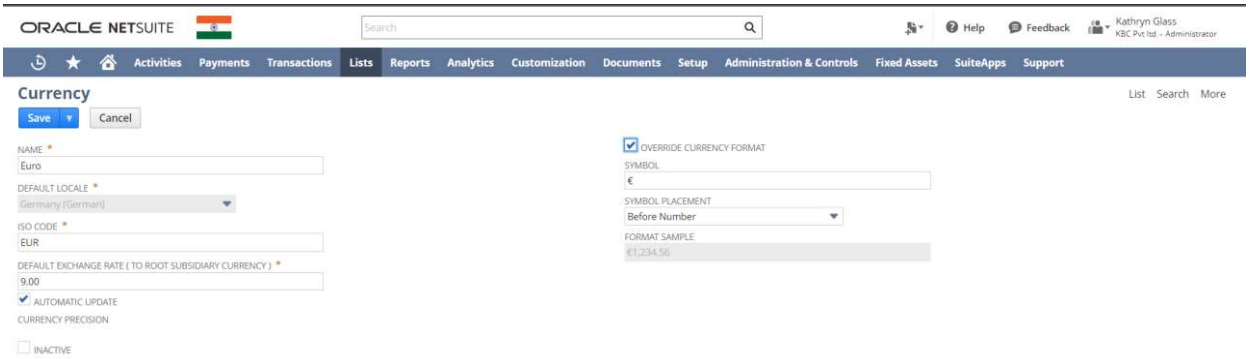
Q.5. What is the navigation to create a new currency in NetSuite? Create below 2 currencies in the NetSuite:

- Canadian Dollar
- Euro

Ans.

- Navigation to create a new currency: List > Accounting > Currencies > New > Save.





Q.6. What are the exchange rates in NetSuite? For which purpose are exchange rates used?

Ans.

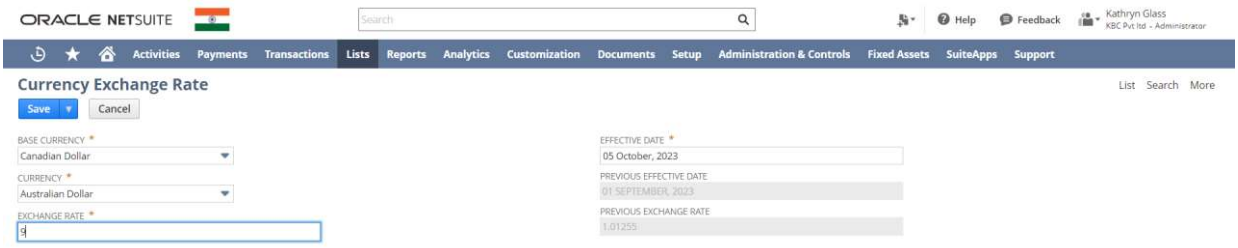
- Currency exchange rates are used to convert foreign currencies to base currencies, providing default rates for transactions in currencies other than the base currency. Exchange rates are expressed in terms of base currency units per foreign currency (source) unit.
- Exchange rates are stored in the Currency Exchange Rates list page at Lists > Accounting > Currency Exchange Rates.
- NetSuite allows us to manually enter exchange rates or import them automatically from sources like Xginite or HSBC.
- Exchange rates serve an important purpose in managing multi-currency transactions and financial reporting for businesses that operate in multiple currencies.

Q.7. What is the navigation to create a new exchange rate? Create 2 currency exchange rates?

Ans.

- Navigation to create a new exchange rate: List > Accounting > Currency Exchange Rates > New.
- Exchange rate of US dollar to Euro:

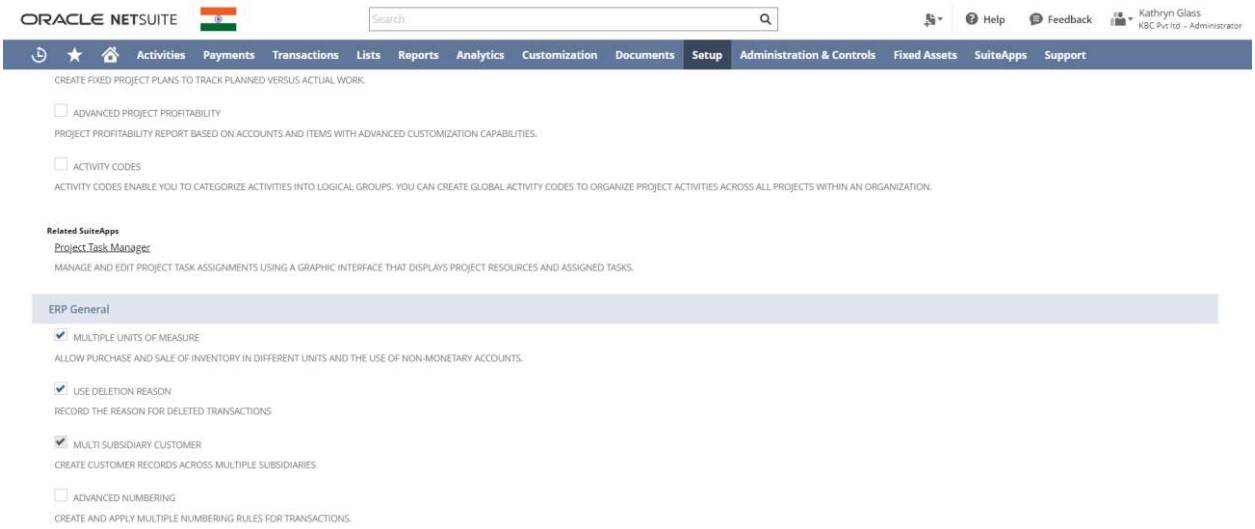
- Exchange rate of Canadian dollar to Australian dollar:



Q.8. Which feature do we need to make enable to use UOM?

Ans.

- Navigation of enable feature to use unit of measure: Setup > Company > Enable Features > Company > ERP General > Check “Multiple Unit of Measure”.

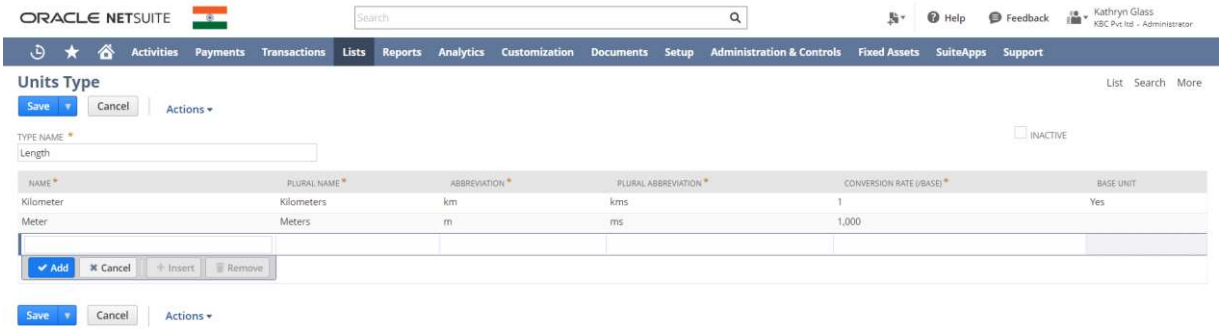
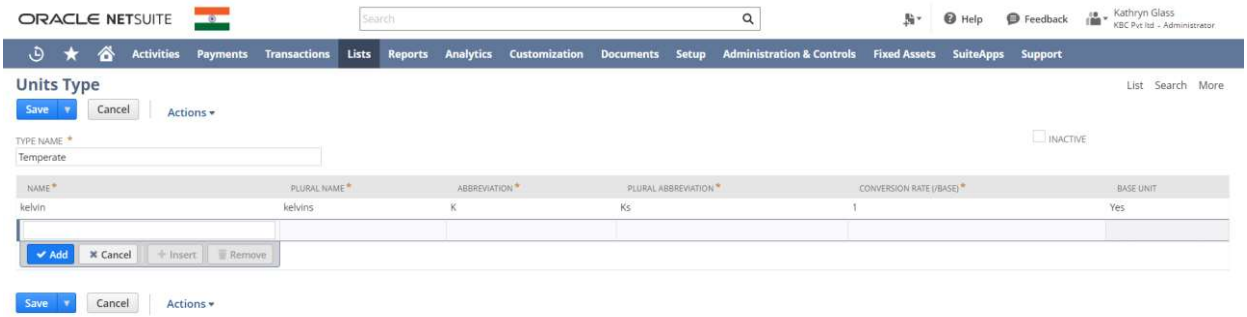


Q.9. What is the navigation to create a new Unit of Measure? Create 2 new units of measures?

Ans.

- Navigation to create a new Unit of Measure: List > Accounting > Unit of measure > New.

- Unit type: Length.



- Unit type: Temperature.